HRM - Unit IV

Job Evaluation, Compensation, Industrial Relations and Grievances

Contents: Part A Notes · Part B Important questions · Part C Detailed model answers (2, 3, 5, 6 and 10 marks) · Part D MCQs with answers at the end.
BBA III Sem · Human Resource Management · CSJM University. Units I-II notes and answers are written from standard HRM knowledge; Units III-IV follow your PDFs.

Part A - Notes

1. Job evaluation

Job evaluation is a systematic way of determining the **value or worth of a job in relation to other jobs**. It begins with job analysis and aims at a rational pay structure.

Objectives: equitable wage differentials; remove inequities and discrimination (age, gender, caste); consistent wage policy; basis for incentives and negotiation; control payroll cost.

1. Gain acceptance
2. Form the job evaluation committee (experienced employees, union representatives, HR experts)
3. Identify jobs
4. Analyse and prepare job descriptions
5. Select the method
6. Classify jobs
7. Convert ratings to pay

Method	How it works	Merit	Demerit
Ranking	Jobs ranked as whole, highest to lowest	Simplest	Subjective; small firms only
Classification	Jobs put in predetermined grades	Simple	Grades hard to define
Factor comparison	Factor by factor against 15-20 key jobs; money to each factor	Consistent	Most complex
Point method	Points for skill, responsibility, effort; converted to money	Widely used; systematic	Time consuming

2. Compensation

Compensation is the total reward received by an employee in exchange for services (direct pay + indirect benefits). **Aims:** attract and retain good people, ensure adequate role behaviour, motivate extra-role behaviour.

Component	Examples
Base (guaranteed) pay	Salary, wages
Variable pay / incentives	Bonus, sales incentive, piece rate, profit sharing, gainsharing
Equity-based pay	Stock options
Benefits	Paid time off, medical insurance, company car

Term	Meaning
Pay level	Pay of a job compared with the job market

Pay structure	Pay differences among jobs inside the firm
Pay form	Mix of guaranteed and at-risk pay

Plan	Meaning
Piece rate	Pay per unit produced (individual incentive)
Standard hour plan	Hourly rate × standard time, whatever the actual time
Profit sharing	Annual bonus from a profit pool
Gainsharing	Bonus from productivity - lower labour cost shared with employees

A **bonus** is a lump sum that does not join base pay; merit pay does. **Defined contribution plans:** fixed contributions into a separate fund. **Termination benefits:** early termination / voluntary retirement. **Vested benefits:** already earned.

3. Wage and salary administration

Wage policy: principles guiding pay (equity, adequacy, incentive, ability to pay; equal pay for equal work). **Wage determination:** fixing wage rates using job evaluation, wage surveys and ability to pay.

Internal factors	External factors
Ability to pay, strategy, job evaluation, performance, seniority, potential	Laws, economy, inflation, labour market, technology, unions

In a depressed economy labour supply rises so wages fall. Unions prefer **seniority** as the objective criterion for pay rises.

Wage	Meaning
Minimum wage	Basic needs of worker and family at the lowest acceptable level; legal floor (Minimum Wages Act, 1948)
Fair wage	Between minimum and living wage; productivity and capacity to pay
Living wage	Decent standard of living incl. education, health, some savings

Order: minimum < fair < living (Committee on Fair Wages, 1948). A **Wage Board** is a tripartite body (employer, employee, independent members) that recommends wage structure and benefits for an industry.

4. Industrial relations (IR)

IR = relationship between **management and employees and their organisations** (Dale Yoder). **Dunlop:** complex of interrelations among managers, workers and agencies of government.

- **Parties:** employees, employers, trade unions, employers' associations, government, courts and tribunals.
- **Scope:** collective bargaining, workers' participation, disputes and machinery, grievance and discipline, labour legislation.
- **Importance:** avoid disputes, harmony, higher productivity, industrial democracy.

5. Industrial disputes

Causes: wages and allowances, bonus, working conditions, retrenchment, lay-off, victimisation, indiscipline. **Disputes of interest** = new claims; **disputes of right** = interpretation of an existing agreement.

Form	Meaning
Strike	Workers quit work to press demands - economic, sympathetic, sit-down, slow-down, hunger
Lockout	Employer closes the workplace
Gherao	Management confined by human barricade

Picketing	People at the gate dissuade workers from entering
Retrenchment	Permanent discharge of surplus staff
Lay-off	Temporary setting aside of workmen

Machinery	Nature
Conciliation	Third party persuades; cannot impose
Arbitration	Neutral arbitrator; binding award (voluntary)
Adjudication	Labour courts and tribunals; compulsory, binding

Trade unions are registered under the **Trade Unions Act, 1926**.

6. Collective bargaining

Management and employee representatives meet and **negotiate terms and conditions of employment**. It is **bipartite, voluntary, flexible, dynamic and continuous**.

- **Preparation** before negotiation decides about 83% of the outcome.
- Issues: wage-related (DA, wage revision), supplementary benefits (pension, gratuity, health insurance), administrative (seniority, grievance).
- **Ratification** is needed because negotiators may not have final authority.
- After signing, the HR manager **administers and implements** the agreement.

7. Grievance handling

A **grievance** is any dissatisfaction or feeling of injustice about one's employment brought to the notice of management. **Causes:** management policy (wages, leave, overtime, seniority, transfer), working conditions, personal reasons.

Deal with a grievance first at the **lowest level**. The **Code of Discipline (Indian Labour Conference, 1957)** advised a mutually agreed grievance procedure.

Step (Model Grievance Procedure)	Time
Officer designated by management replies	48 hours
Head of department	3 days
Grievance committee recommends	7 days
Manager's decision	3 days
Revision petition	7 days
Still unsatisfied	Voluntary arbitration

Essentials of a good procedure: legal sanctity, acceptability, simplicity and promptness.

8. Role of government, unions and management

Party	Role
Government	Labour laws, conciliation, adjudication, wage boards
Trade unions	Represent workers, bargain collectively, maintain discipline
Management	Fair pay and conditions, grievance procedure, communication, participation

Quick revision - Unit IV

- Job evaluation methods: ranking, classification, factor comparison, point
- Compensation = base + variable + benefits (+ equity)

- Wages: minimum < fair < living; wage board = tripartite
- IR parties: employees, employers, unions, government
- Dispute forms: strike, lockout, gherao, picketing, lay-off, retrenchment; machinery: conciliation, arbitration, adjudication
- Model grievance procedure: 48 h, 3 d, 7 d, 3 d, 7 d, then arbitration

Part B - Important questions

1. What is job evaluation? Explain its objectives, process and importance. How does it help in designing a fair pay structure?
2. Explain the methods of job evaluation. Discuss the merits and demerits of each.
3. Define employee compensation and explain its objectives. Discuss the components of compensation: base pay, incentives and fringe benefits.
4. Explain the concept of wage policy and wage determination. Discuss the principles and the factors that influence wage and salary administration.
5. Discuss the concept of minimum wage, fair wage and living wage. What is the role of Wage Boards in wage determination in India?
6. Explain the factors influencing wage and salary administration.
7. Define Industrial Relations. Discuss its concept, objectives and importance for industrial peace and productivity.
8. What are industrial disputes? Explain their causes, forms and the machinery for settlement.
9. Explain collective bargaining and discuss its process. How does it help in resolving conflicts between management and workers?
10. Explain the causes of employee grievances and how they can be redressed.
11. Discuss the role of the government, trade unions and management in maintaining healthy industrial relations.

Part C - Detailed model answers (31 answers)

Q1. [2 marks] What is job evaluation?

Job Evaluation

Job evaluation is a systematic way of determining the **value or worth of a job in relation to other jobs** in the organisation.

- It starts from job analysis (job descriptions).
- Its aim is a rational and fair pay structure.

Example: Rating the jobs of clerk, accountant and manager to decide their relative pay.

Marking scheme: Definition 1 · two points 0.5 each · example 0.5

Asked in: Important Questions - Unit 4, Q1 · Notes of Unit - 4

Q2. [3 marks] Distinguish between job analysis and job evaluation.

Job Evaluation

Basis	Job analysis	Job evaluation
Meaning	Gathers information about a job	Determines the worth of a job
Output	Job description and specification	Grading / pay rate of the job
Sequence	Comes first	Follows job analysis

Job analysis collects facts; job evaluation uses them to value the job.

Marking scheme: Three differences 1 each

Asked in: Important Questions - Unit 4, Q1 · Notes of Unit - 4

Q3. [5 marks] Explain the objectives of job evaluation.

Job Evaluation

Introduction

Job evaluation rates jobs so that employees receive fair pay according to the importance of their jobs.

1. **Fair wage differentials** between jobs.
2. **Eliminate inequities** in pay and reduce discrimination on the basis of age, gender and caste.
3. **Consistent wage policy** throughout the organisation.
4. **Basis for incentives** and wage negotiation with unions.
5. **Control payroll cost** by paying jobs only what they are worth.

Marking scheme: Introduction 0.5 · five objectives 4 · explanation 0.5

Asked in: Important Questions - Unit 4, Q1 · Notes of Unit - 4

Q4. [10 marks] What is job evaluation? Explain its objectives, process and importance. How does it help in designing a fair pay structure?

Job Evaluation

1. Introduction

Job evaluation is a systematic way of determining the value or worth of a job in relation to other jobs. Every method needs at least some basic job analysis. It aims at a rational pay structure.

2. Objectives

- Determine equitable wage differentials between jobs.

- Eliminate inequities and reduce discrimination.
- Consistent wage policy, basis for incentives and support in negotiations.
- Control payroll cost.

3. Process

1. Gain acceptance of the programme from employees and unions.
2. Form a job evaluation committee of experienced employees, union representatives and HR experts (one person cannot evaluate all key jobs).
3. Identify the jobs to be evaluated.
4. Analyse jobs and prepare job descriptions.
5. Select the method of evaluation.
6. Classify the jobs.
7. Convert the ratings into pay rates.

4. Importance

- Gives employees confidence that pay is fair.
- Reduces disputes and wage complaints.
- Helps hiring at the right pay.

5. Fair pay structure

Jobs of equal worth get equal pay and jobs of higher worth get higher pay. Thus the pay structure is based on the demands of the job and not on personal likes.

Example: If a supervisor's job scores 300 points and a clerk's 150, the supervisor's grade carries a higher pay band.

6. Conclusion

Job evaluation links pay to job worth and provides a fair, defensible base for compensation.

Marking scheme: Introduction 1 · objectives 2 · process 3 · importance 1 · pay structure 2 · conclusion 1

Asked in: Important Questions - Unit 4, Q1 · Notes of Unit - 4

Q5. [10 marks] Explain the methods of job evaluation. Discuss the merits and demerits of each.

Job Evaluation

1. Introduction

Job evaluation methods are of two types: non-analytical (the job is considered as a whole - ranking and classification) and analytical (the job is broken into factors - point and factor comparison).

2. Ranking method

Jobs are arranged from the highest to the lowest in value as a whole. **Merits:** simplest and quickest. **Demerits:** subjective and difficult in large organisations; suited only to small firms.

3. Classification method

Jobs are assigned to predetermined job classes or grades (e.g. executives, skilled, semi-skilled, unskilled). **Merits:** simple; suits many jobs. **Demerits:** grade definitions are difficult and jobs may be forced into a wrong grade.

4. Factor comparison method

Jobs are ranked factor by factor (mental effort, physical effort, skill, responsibility) against 15-20 key jobs that represent wage levels, and money is assigned to each factor. **Merits:** consistent. **Demerits:** the most complex method.

5. Point method

Jobs are expressed in terms of key factors (skill, responsibility, effort) with sub-factors and points; the points are added and later converted to money. **Merits:** widely used, systematic, less subjective. **Demerits:** time consuming and costly to design.

6. Summary

Method	Basis	Best for
Ranking	Job as whole	Small firms
Classification	Grades	Large groups of similar jobs
Factor comparison	Factors with money	Where consistency is needed
Point	Factors with points	Most organisations

7. Conclusion

The choice depends on the size and complexity of the organisation; the point method is the most widely used today.

Marking scheme: Introduction 1 · four methods with merit/demerit 6 · summary 2 · conclusion 1

Asked in: Important Questions - Unit 4, Q2 · Notes of Unit - 4

Q6. [2 marks] Define employee compensation.

Compensation

Compensation is the **total reward received by an employee in exchange for the services performed** for the organisation.

- **Direct compensation:** salary, wages, bonus and incentives.
- **Indirect compensation:** benefits such as insurance, paid leave and pension.

Example: A salary of Rs 30,000 plus medical insurance and annual bonus.

Marking scheme: Definition 1 · two points 0.5 each · example 0.5

Asked in: Important Questions - Unit 4, Q3 · Notes of Unit - 4

Q7. [3 marks] Explain the objectives of a compensation system.

Compensation

1. **Attract and retain** high-quality employees by offering competitive pay.
2. **Ensure adequate role behaviour:** pay should make employees perform their assigned duties.
3. **Motivate extra-role behaviour:** incentives encourage employees to do more than required.

A good system is fair, legal and affordable.

Marking scheme: Three objectives 1 each

Asked in: Important Questions - Unit 4, Q3 · Notes of Unit - 4

Q8. [3 marks] Explain pay level, pay structure and pay form.

Compensation

Term	Meaning
Pay level	The relative amount of pay assigned to each job compared with the job market
Pay structure	The relative pay differential among various jobs within the organisation
Pay form	The makeup of pay - guaranteed versus at-risk (variable) pay

Example: Offering a clerk Rs 20,000 where the market rate is Rs 22,000 shows a lower pay level.

Marking scheme: Three terms 1 each

Asked in: · Notes of Unit - 4

Q9. [6 marks] Define employee compensation and explain its objectives. Discuss the components: base pay, incentives and fringe benefits.

Compensation

Introduction

Compensation is the total reward received by an employee in exchange for services. It includes direct pay (salary and wages) and indirect pay (benefits).

Objectives

- Attract and retain good employees.
- Ensure adequate role behaviour.
- Motivate extra-role behaviour.

Components

Component	Meaning	Examples
Base (guaranteed) pay	Fixed monetary reward based on the employer-employee relationship	Basic salary, wages
Incentives (variable pay)	Pay linked to performance, results or discretion	Bonus, sales incentive, piece rate, profit sharing, gainsharing
Fringe benefits	Non-cash benefits that supplement pay	Medical insurance, paid time off, company car
Equity-based pay	Rewards through the employer's shares	Stock options

Marking scheme: Definition 1 · objectives 1.5 · components 3.5

Asked in: Important Questions - Unit 4, Q3 · Notes of Unit - 4

Q10. [5 marks] Explain the various incentive plans: piece rate, standard hour plan, profit sharing and gainsharing.

Compensation

Introduction

Incentive plans link a part of pay with performance to motivate employees.

Plan	Meaning	Example
Piece rate	An individual incentive plan under which pay depends on the number of units produced	Rs 5 for each unit stitched
Standard hour plan	Employee is paid the hourly rate for the standard time of a task, regardless of the actual time taken	Standard 1.5 h at Rs 40/h = Rs 60 whether it takes 1 or 3 hours
Profit sharing	An annual bonus from a pool based on the overall profitability of the company	Year-end profit bonus
Gainsharing	Bonus based on productivity, comparing labour cost with the value of output; savings are split between employees and the company	Bonus for lower labour cost per unit

Note: a bonus is a lump sum for a specific objective and does not become part of the base pay, whereas merit pay does.

Marking scheme: Introduction 0.5 · four plans 4 · note 0.5

Asked in: · Notes of Unit - 4

Q11. [3 marks] Distinguish between defined contribution plans and termination benefits.

Compensation

Basis	Defined contribution plan	Termination benefits

Meaning	A post-employment plan where the enterprise pays fixed contributions into a separate fund	Benefits payable on early termination or voluntary retirement
Obligation	No further obligation if the fund is insufficient	Arises due to the decision to terminate
Example	Provident fund contribution	Voluntary retirement compensation

Vested employee benefits are benefits already earned that do not depend on future employment.

Marking scheme: Three differences 1 each

Asked in: · Notes of Unit - 4

Q12. [2 marks] What is wage policy?

Wage & Salary Administration

Wage policy is the set of principles and guidelines that an organisation or the government follows in fixing and administering wages and salaries.

- It should be fair to both employers and employees and consistent with law.
- Principles include equity, adequacy, incentive and ability to pay; "equal pay for equal work" is a key principle.

Marking scheme: Definition 1 · two points 0.5 each

Asked in: Important Questions - Unit 4, Q4 · Notes of Unit - 4

Q13. [3 marks] Distinguish between wages and salary.

Wage & Salary Administration

Basis	Wages	Salary
Paid to	Workers (manual, unskilled)	Clerical, managerial and professional staff
Period	Daily or weekly	Monthly
Basis	Often hours or output	Fixed monthly amount

Wage determination is the process of fixing the wage rates for different jobs using job evaluation, market surveys and the organisation's ability to pay.

Marking scheme: Three differences 1 each

Asked in: Important Questions - Unit 4, Q4

Q14. [6 marks] Explain the concept of wage policy and wage determination. Discuss the principles and the factors that influence wage and salary administration.

Wage & Salary Administration

Introduction

Wage policy is the guiding framework for fixing pay; **wage determination** is the process of fixing the wage rates for different jobs.

Principles

- Fairness to employers and employees; compliance with law.
- Equal pay for equal work.
- Adequacy, incentive and ability to pay.

Factors influencing wages

Internal factors	External factors
Ability to pay	Laws such as the Minimum Wages Act and bonus rules

Organisation's strategy	State of the economy; a depressed economy lowers wages
Job evaluation	Inflation and cost of living
Employee performance, experience and seniority	Labour market and competitors' pay
Employee potential	Trade unions; technology

Trade unions generally prefer **seniority** as an objective criterion for pay rises; management prefers performance.

Marking scheme: Concepts 1.5 · principles 1.5 · factors 3

Asked in: Important Questions - Unit 4, Q4 · Important Questions - Unit 4, Q6 · Notes of Unit - 4

Q15. [3 marks] Distinguish between minimum wage, fair wage and living wage.

Wage Concepts

Wage	Meaning
Minimum wage	The lowest wage that meets the basic needs of a worker and his family; the legal floor under the Minimum Wages Act, 1948
Fair wage	Lies between the minimum wage and the living wage; depends on productivity, prevailing rates and the employer's capacity to pay
Living wage	A wage giving a decent standard of living including education, health and some savings

Order (lowest to highest): minimum wage, fair wage, living wage (Committee on Fair Wages, 1948).

Marking scheme: Three wages 2.5 · order 0.5

Asked in: Important Questions - Unit 4, Q5 · Notes of Unit - 4

Q16. [6 marks] Discuss the concept of minimum wage, fair wage and living wage. What is the role of Wage Boards in wage determination in India?

Wage Concepts

Introduction

Wages are classified into three levels according to what they provide to the worker.

Wage	Meaning	Factors
Minimum wage	Basic needs of worker and family at the lowest acceptable level	Fixed by law (Minimum Wages Act, 1948)
Fair wage	Between minimum and living wage	Productivity of labour and capacity of the industry to pay
Living wage	Decent standard of living, education, health and some savings	Cost of living

Wage Boards

- A Wage Board is a **tripartite body** of employer, employee and independent members.
- It **recommends wage structure and related benefits** for an industry.
- Its recommendations guide wage determination in that industry and help in settling disputes.

Marking scheme: Introduction 0.5 · three wages 3 · wage boards 2.5

Asked in: Important Questions - Unit 4, Q5 · Notes of Unit - 4

Q17. [2 marks] Define Industrial Relations.

Industrial Relations

Industrial relations describe the relationship between **management and employees and their organisations** (Dale Yoder). According to Dunlop, industrial relations are the complex of interrelations among managers,

workers and agencies of government.

- The parties are employees, employers, trade unions, employers' associations, government, courts and tribunals.

Marking scheme: Definition 1 · parties 1

Asked in: Important Questions - Unit 4, Q7 · Notes of Unit - 4

Q18. [3 marks] Explain the scope of industrial relations.

Industrial Relations

1. **Collective bargaining** and **workers' participation in management**.
2. **Industrial disputes**, their prevention and the machinery for settlement.
3. **Grievance handling and discipline**, and **labour legislation**.

Parties to IR include employees, employers, trade unions, employers' associations, government, courts and tribunals.

Marking scheme: Three points 1 each

Asked in: Important Questions - Unit 4, Q7 · Notes of Unit - 4

Q19. [10 marks] Define Industrial Relations. Discuss its concept, objectives and importance for industrial peace and productivity.

Industrial Relations

1. Introduction

Industrial relations (IR) describe the relationship between management and employees and their organisations. Dunlop defines them as the complex of interrelations among managers, workers and agencies of government.

2. Concept

- IR arises because industrial societies need managers, workers and governments to deal with one another.
- It covers both individual and collective relations in industry.

3. Parties

- Employees and trade unions, employers and employers' associations, government, courts and tribunals.

4. Scope

- Collective bargaining, workers' participation, disputes and their machinery, grievances and discipline, labour legislation.

5. Objectives

- Maintain harmonious relations between management and workers.
- Prevent and settle industrial disputes.
- Protect the interests of both sides and promote industrial democracy.

6. Importance for industrial peace and productivity

Importance	Explanation
Industrial peace	Fewer strikes, lockouts and gheraos
Higher productivity	Cooperative workers produce more
Protection of interests	Fair deal for management and labour
Industrial democracy	Workers' voice in decisions

7. Conclusion

Good industrial relations are the base of industrial peace and growth.

Marking scheme: Introduction 1 · concept and parties 2 · scope 1.5 · objectives 1.5 · importance 3 · conclusion 1

Asked in: Important Questions - Unit 4, Q7 · Notes of Unit - 4

Q20. [6 marks] Discuss the role of the government, trade unions and management in maintaining healthy industrial relations.

Industrial Relations

Introduction

Healthy industrial relations need the cooperation of the government, trade unions and management.

Party	Role
Government	Makes labour laws (Trade Unions Act, 1926; Industrial Disputes Act; Minimum Wages Act, 1948), provides conciliation, arbitration and adjudication, appoints wage boards
Trade unions	Represent workers, bargain collectively, protect workers' rights and maintain discipline among members
Management	Fair pay and conditions, a grievance procedure, communication and workers' participation

Conclusion: when all three play their roles responsibly, disputes are reduced and productivity improves.

Marking scheme: Introduction 0.5 · three roles 4.5 · conclusion 1

Asked in: Important Questions - Unit 4, Q11 · Notes of Unit - 4

Q21. [2 marks] What is an industrial dispute? Name its causes.

Industrial Disputes

An **industrial dispute** is a conflict or difference between management and workers (or among workers) over employment terms, wages or conditions.

- **Causes:** wages and allowances, bonus, working conditions.
- Retrenchment, lay-off, victimisation and indiscipline.

Marking scheme: Definition 1 · causes 1

Asked in: Important Questions - Unit 4, Q8 · Notes of Unit - 4

Q22. [3 marks] Distinguish between strike and lockout.

Industrial Disputes

Basis	Strike	Lockout
Meaning	Quitting of work by a group of workers to press demands	Employer closes the place of work to pressure workers
By whom	Workers	Employer
Types	Economic, sympathetic, sit-down, slow-down, hunger	Total or partial closure

In a sit-down strike workers stay at the workplace but do not work.

Marking scheme: Three differences 1 each

Asked in: · Notes of Unit - 4

Q23. [3 marks] Explain gherao, picketing, lay-off and retrenchment.

Industrial Disputes

Term	Meaning
Gherao	Preventing members of management from leaving the premises by blocking exits with human barricades
Picketing	Stationing persons at the factory gate to dissuade workers from reporting for work
Lay-off	Temporarily setting aside workmen for a period no longer than the emergency
Retrenchment	Permanent discharge of surplus labour by the employer for any reason

Marking scheme: Four terms, 0.75 each

Asked in: · Notes of Unit - 4

Q24. [10 marks] What are industrial disputes? Explain their causes, forms and the machinery for settlement.

Industrial Disputes

1. Introduction

An **industrial dispute** is a conflict between management and workers over terms and conditions of employment. Disputes of **interest** concern new claims and demands; disputes of **right** concern the application or interpretation of an existing agreement.

2. Causes

Type	Causes
Economic	Wages and allowances, bonus, working conditions
Managerial	Retrenchment, lay-off, victimisation, indiscipline
Other	Recognition of unions, interpretation of agreements

3. Forms of industrial action

Form	Meaning
Strike	Workers quit work to press demands - economic, sympathetic, sit-down, slow-down, hunger
Lockout	Employer closes the workplace
Gherao	Management confined by a human barricade
Picketing	People stationed at the gate to stop workers entering
Retrenchment	Permanent discharge of surplus staff
Lay-off	Temporary setting aside of workmen

4. Machinery for settlement

Method	Nature
Conciliation	A third party helps both sides reach settlement but cannot impose a decision
Arbitration	A neutral arbitrator gives a binding award (voluntary, by mutual consent)
Adjudication	Labour courts and industrial tribunals decide; compulsory and binding

Example: If workers and management disagree on bonus, a conciliation officer first tries to settle; failing which the matter may go to a tribunal.

5. Conclusion

Prevention through good communication, grievance procedure and collective bargaining is better than settlement of disputes.

Marking scheme: Introduction 1 · causes 2 · forms 3 · machinery 2.5 · example 0.5 · conclusion 1

Asked in: Important Questions - Unit 4, Q8 · Notes of Unit - 4

Q25. [2 marks] Define collective bargaining.

Collective Bargaining

Collective bargaining is a process in which **management and employee representatives meet and negotiate** the terms and conditions of employment.

- It is a group action: both sides act as a group, not as individuals.
- It is voluntary and bipartite (only the two parties take part).

Marking scheme: Definition 1 · two points 0.5 each

Asked in: Important Questions - Unit 4, Q9 · Notes of Unit - 4

Q26. [3 marks] State the characteristics of collective bargaining.

Collective Bargaining

1. **Collective and bipartite:** only management and workers' representatives participate, without third-party intervention.
2. **Flexible, dynamic and continuous:** it is not a rigid one-time event; terms keep being renegotiated.
3. **Two-way and voluntary:** both sides give and take, and it ensures industrial democracy.

Marking scheme: Three characteristics 1 each

Asked in: Important Questions - Unit 4, Q9 · Notes of Unit - 4

Q27. [6 marks] Explain collective bargaining and discuss its process. How does it help in resolving conflicts between management and workers?

Collective Bargaining

Introduction

Collective bargaining is a process in which management and employee representatives negotiate the terms and conditions of employment. It is voluntary, bipartite, flexible and continuous.

Process

1. **Pre-negotiation preparation** - collecting data and fixing demands; the notes say that about 83% of the bargaining outcome is influenced by this stage.
2. **Negotiation** - on wages, supplementary benefits (pension, gratuity, health insurance) and administrative issues (seniority, grievance).
3. **Agreement** - the terms are written down.
4. **Ratification** - approval by members, because the negotiators may not have the ultimate authority to decide.
5. **Administration** - the HR manager runs the agreement day to day; signing is the beginning of implementation, not the end.

How it helps

It settles issues peacefully across the table, builds mutual understanding, prevents strikes and lockouts, and ensures industrial democracy.

Marking scheme: Introduction 1 · process 3.5 · how it helps 1.5

Asked in: Important Questions - Unit 4, Q9 · Notes of Unit - 4

Q28. [2 marks] What is a grievance?

Grievance

A **grievance** is **any dissatisfaction or feeling of injustice in connection with one's employment** that is brought to the attention of management.

- It may be valid or not, expressed or not.
- The National Commission on Labour said complaints on wage payment, overtime, leave, transfer, promotion, seniority, work assignment and discharge constitute grievances.

Marking scheme: Definition 1 · two points 0.5 each

Asked in: Important Questions - Unit 4, Q10 · Notes of Unit - 4

Q29. [3 marks] Explain the causes of employee grievances.

Grievance

Cause	Examples

Management policy	Wage payment, leave, overtime, seniority, transfer, disciplinary action
Working conditions	Improper matching of worker with the job, poor environment
Personal reasons	Over-ambition, excessive self-esteem (the employee's attitude)

Marking scheme: Three causes 1 each

Asked in: Important Questions - Unit 4, Q10 · Notes of Unit - 4

Q30. [6 marks] Explain the causes of employee grievances and how they can be redressed.

Grievance

Introduction

A grievance is any dissatisfaction or feeling of injustice about one's employment that is brought to the notice of management.

Causes

- **Management policy** - wages, leave, overtime, seniority, transfer.
- **Working conditions** - improper matching of worker with the job.
- **Personal reasons** - over-ambition and excessive self-esteem.

Redressal - Model Grievance Procedure

Step	Time limit
Officer designated by management gives his reply	48 hours
Head of the department	3 days
Grievance committee recommendation	7 days
Manager's decision	3 days
Revision petition	7 days
If still unsatisfied	Voluntary arbitration (final step)

A grievance should first be dealt with at the lowest level, by the immediate superior, so that it is settled on the spot. The Code of Discipline adopted by the Indian Labour Conference in 1957 advised a mutually agreed grievance procedure.

Marking scheme: Introduction 0.5 · causes 1.5 · procedure 3 · note 1

Asked in: Important Questions - Unit 4, Q10 · Notes of Unit - 4

Q31. [3 marks] What are the essentials of an effective grievance procedure?

Grievance

1. **Legal sanctity:** the procedure must conform to the law.
2. **Acceptability and simplicity:** it must be accepted by all and be simple to use.
3. **Promptness:** grievances must be settled quickly, within fixed time limits, with a right to appeal.

Marking scheme: Three essentials 1 each

Asked in: · Notes of Unit - 4

Part D - MCQs (25) - answers at the end

1. A grievance is
- A. any dissatisfaction or feeling of injustice in connection with one's employment brought to the attention of management
- B. an agreement between management and union on the terms of employment
- C. a sudden stoppage of work by a group of employees to press demands
- D. a formal punishment given to an employee for breaking company rules

2. Paid time off, medical insurance and company car are examples of
- A. benefits
- B. guaranteed pay
- C. equity
- D. variable pay

3. Which is a party to industrial relations?
- A. Trade union
- B. Customer
- C. Competitor
- D. Supplier

4. The relative pay differential among various jobs within an organisation is the
- A. pay structure
- B. pay form
- C. basis for pay increase
- D. pay level

5. A sound wage policy should be
- A. kept secret from employees so that no one can compare pay
- B. framed to pay the lowest possible wage to reduce costs
- C. fair to both employers and employees and consistent with law
- D. decided by the employer alone, without regard to the law

6. Employee benefits that are not conditional on future employment are
- A. short-term benefits
- B. vested employee benefits
- C. multi-employer plans
- D. termination benefits

7. Job evaluation is a systematic way of determining
- A. the value or worth of a job in relation to other jobs
- B. the number of employees required for each job in the department
- C. the information about the tasks and duties attached to a job
- D. the performance of an employee in terms of the requirements of the job

8. Arrange the three wage levels from lowest to highest.
- A. Fair wage, minimum wage, living wage
- B. Minimum wage, fair wage, living wage
- C. Minimum wage, living wage, fair wage
- D. Living wage, fair wage, minimum wage

9. Quitting of work by a group of workers to pressure the employer to accept demands is a
- A. strike
- B. lockout
- C. picketing
- D. gherao

10. Which of the following is a basic method of job evaluation?

A. Ranking method
B. Pareto analysis
C. Break-even analysis
D. SWOT analysis

11. A Wage Board in India is typically a

A. court that decides disputes between workers and employers
B. committee of shareholders that fixes the salary of directors
C. tripartite body of employer, employee and independent members
D. body of government officials appointed to inspect factories

12. Workers staying at their workplace and not working is a

A. hunger strike
B. sit-down strike
C. economic strike
D. sympathetic strike

13. In India, minimum wages are legally fixed under the

A. Indian Contract Act
B. Companies Act, 2013
C. Minimum Wages Act, 1948
D. Consumer Protection Act

14. Adjudication of industrial disputes is done by

A. the personnel manager of the company, in consultation with the workers
B. the board of directors of the company by a majority vote
C. labour courts and industrial tribunals
D. the trade union and the employers' association jointly

15. Job evaluation begins with

A. retrenchment
B. strike
C. job analysis
D. collective bargaining

16. Disputes relating to the application or interpretation of an existing agreement are disputes of

A. right
B. wages only
C. interest
D. strikes only

17. Key jobs in the factor comparison method are typically

A. 15 to 20 jobs representing wage levels across the organisation
B. only the top five executive positions of the firm
C. only the lowest paid jobs in each department
D. every job in the organisation without any exception

18. Wage determination is the process of

A. training the employees to improve their skills on the job
B. settling the disputes between the employees and the management
C. fixing the wage rates for different jobs
D. selecting candidates for various jobs in the organisation

19. Post-employment benefit plans where an enterprise pays fixed contributions into a separate fund are

A. short-term benefits
B. termination benefits
C. defined benefit plans

D. defined contribution plans

20. In the Model Grievance Procedure, the officer designated by management must respond within

A. 48 hours
B. 3 months
C. 30 days
D. 7 days

21. The Code of Discipline adopted by the Indian Labour Conference in 1957 advised establishing

A. the permanent appointment of a labour court in every factory
B. a mutually agreed grievance procedure
C. a uniform national wage scale for workers in all industries
D. a compulsory ban on all strikes and lockouts in the industry

22. 'Equal pay for equal work' is a principle of

A. advertising
B. inventory control
C. wage policy
D. taxation only

23. Which is a characteristic of collective bargaining?

A. Flexible, dynamic and continuous process
B. Rigid one-time process
C. Individual action only
D. Compulsory third-party intervention

24. Pension plans, gratuity and health insurance are

A. wage-related issues of bargaining
B. administrative issues of bargaining
C. forms of industrial action by the workers
D. supplementary economic benefits

25. A system where individuals receive an annual bonus based on overall profitability of the company is

A. gainsharing
B. standard hour plan
C. piece rate
D. profit sharing

MCQ answer key

1. **A**	6. **B**	11. **C**	16. **A**	21. **B**
2. **A**	7. **A**	12. **B**	17. **A**	22. **C**
3. **A**	8. **B**	13. **C**	18. **C**	23. **A**
4. **A**	9. **A**	14. **C**	19. **D**	24. **D**
5. **C**	10. **A**	15. **C**	20. **A**	25. **D**

MCQ answers with explanations

1. A grievance is

Answer: A. any dissatisfaction or feeling of injustice in connection with one's employment brought to the attention of management

Why correct: A grievance is any dissatisfaction or sense of injustice about employment brought to management.

B is wrong: An agreement is a collective agreement.

C is wrong: Sudden work stoppage is a strike.

D is wrong: Punishment is a disciplinary action.

2. Paid time off, medical insurance and company car are examples of

Answer: A. benefits

Why correct: Paid leave, insurance and a car are benefits.

B is wrong: Guaranteed pay is basic salary.

C is wrong: Equity is shares.

D is wrong: Variable pay is performance linked.

3. Which is a party to industrial relations?

Answer: A. Trade union

Why correct: A trade union represents employees in IR.

B is wrong: Customer is a market party.

C is wrong: Competitor is a market party.

D is wrong: Supplier is a market party.

4. The relative pay differential among various jobs within an organisation is the

Answer: A. pay structure

Why correct: Pay structure is the relative pay among jobs inside the firm.

B is wrong: Pay form is the mix of pay types.

C is wrong: Increase basis is a different idea.

D is wrong: Pay level compares with the market.

5. A sound wage policy should be

Answer: C. fair to both employers and employees and consistent with law

Why correct: A sound policy is fair to both sides and follows the law.

A is wrong: Secrecy breeds suspicion.

B is wrong: Lowest possible pay is unfair.

D is wrong: Ignoring the law is illegal.

6. Employee benefits that are not conditional on future employment are

Answer: B. vested employee benefits

Why correct: Vested benefits are already earned regardless of future service.

A is wrong: Short-term benefits are paid soon.

C is wrong: Multi-employer plans are a plan type.

D is wrong: Termination benefits depend on exit.

7. Job evaluation is a systematic way of determining

Answer: A. the value or worth of a job in relation to other jobs

Why correct: Job evaluation determines a job's worth relative to other jobs to build a fair pay structure.

B is wrong: Number of employees is manpower planning.

C is wrong: Tasks and duties information is job analysis.

D is wrong: Employee performance is appraisal.

8. Arrange the three wage levels from lowest to highest.

Answer: B. Minimum wage, fair wage, living wage

Why correct: From lowest to highest: minimum, fair, living.

A is wrong: Fair cannot be below minimum.

C is wrong: Living is higher than fair.

D is wrong: That order is reversed.

9. Quitting of work by a group of workers to pressure the employer to accept demands is a

Answer: A. strike

Why correct: A strike is workers stopping work to press demands.

B is wrong: Lockout is an employer's act.

C is wrong: Picketing blocks entry.

D is wrong: Gherao confines managers.

10. Which of the following is a basic method of job evaluation?

Answer: A. Ranking method

Why correct: Ranking is a basic evaluation method.

B is wrong: Pareto analysis is quality analysis.

C is wrong: Break-even is a cost tool.

D is wrong: SWOT is strategic analysis.

11. A Wage Board in India is typically a

Answer: C. tripartite body of employer, employee and independent members

Why correct: A Wage Board is tripartite: employers, employees and independent members.

A is wrong: Deciding disputes is a tribunal's job.

B is wrong: Shareholders do not form it.

D is wrong: Inspecting factories is an inspector's job.

12. Workers staying at their workplace and not working is a

Answer: B. sit-down strike

Why correct: Sit-down strike: workers stay at their place but do not work.

A is wrong: Hunger strike is fasting.

C is wrong: Economic strike is for pay.

D is wrong: Sympathetic strike supports others.

13. In India, minimum wages are legally fixed under the

Answer: C. Minimum Wages Act, 1948

Why correct: Minimum wages are fixed under the Minimum Wages Act, 1948.

A is wrong: Contract Act is about contracts.

B is wrong: Companies Act is about companies.

D is wrong: Consumer Protection Act is about consumers.

14. Adjudication of industrial disputes is done by

Answer: C. labour courts and industrial tribunals

Why correct: Adjudication is by labour courts and tribunals and is binding.

A is wrong: The personnel manager is a party.

B is wrong: The board is a party.

D is wrong: Union and employers jointly is bargaining.

15. Job evaluation begins with

Answer: C. job analysis

Why correct: Job evaluation needs job descriptions, which come from job analysis.

A is wrong: Retrenchment is a discharge.

B is wrong: A strike is a work stoppage.

D is wrong: Collective bargaining is negotiation.

16. Disputes relating to the application or interpretation of an existing agreement are disputes of

Answer: A. right

Why correct: Disputes about applying an existing agreement are disputes of right.

B is wrong: Wages only is too narrow.

C is wrong: Interest disputes are about new demands.

D is wrong: Strikes are an action, not a dispute type.

17. Key jobs in the factor comparison method are typically

Answer: A. 15 to 20 jobs representing wage levels across the organisation

Why correct: Factor comparison uses about 15-20 key jobs covering all wage levels.

B is wrong: Top executives alone are not representative.

C is wrong: Lowest paid jobs alone are not representative.

D is wrong: Not every job is a key job.

18. Wage determination is the process of

Answer: C. fixing the wage rates for different jobs

Why correct: Wage determination fixes the wage rates for different jobs.

A is wrong: Training is development.

B is wrong: Settling disputes is industrial relations.

D is wrong: Selecting candidates is selection.

19. Post-employment benefit plans where an enterprise pays fixed contributions into a separate fund are

Answer: D. defined contribution plans

Why correct: A defined contribution plan fixes the contribution, not the final benefit.

A is wrong: Short-term benefits are due within a year.

B is wrong: Termination benefits are for early exit.

C is wrong: Defined benefit fixes the benefit amount.

20. In the Model Grievance Procedure, the officer designated by management must respond within

Answer: A. 48 hours

Why correct: The designated officer must reply within 48 hours.

B is wrong: 3 months is too long.

C is wrong: 30 days is too long for step one.

D is wrong: 7 days is the committee's time.

21. The Code of Discipline adopted by the Indian Labour Conference in 1957 advised establishing

Answer: B. a mutually agreed grievance procedure

Why correct: The 1957 Code of Discipline advised a mutually agreed grievance procedure.

A is wrong: A labour court in each factory is not in the Code.

C is wrong: A uniform wage scale is not in the Code.

D is wrong: A ban on all strikes is not in the Code.

22. 'Equal pay for equal work' is a principle of

Answer: C. wage policy

Why correct: Equal pay for equal work is a wage policy principle against discrimination.

A is wrong: Advertising is marketing.

B is wrong: Inventory control is operations.

D is wrong: Taxation is public finance.

23. Which is a characteristic of collective bargaining?

Answer: A. Flexible, dynamic and continuous process

Why correct: Collective bargaining is flexible, dynamic and continuous - terms keep being renegotiated.

B is wrong: It is not a one-time rigid event.

C is wrong: It is collective, not individual.

D is wrong: It is voluntary; third-party intervention is not compulsory.

24. Pension plans, gratuity and health insurance are

Answer: D. supplementary economic benefits

Why correct: Pension, gratuity and health insurance are benefits beyond wages - supplementary economic benefits.

A is wrong: Wage-related issues are pay and DA.

B is wrong: Administrative issues are seniority and discipline.

C is wrong: These are benefits, not industrial action.

25. A system where individuals receive an annual bonus based on overall profitability of the company is

Answer: D. profit sharing

Why correct: Profit sharing pays from a company profit pool.

A is wrong: Gainsharing links to productivity.

B is wrong: Standard hour is time based.

C is wrong: Piece rate is per unit.